Unit 8 - Consumption Function and Investment Function

- Overview of the Consumption and Investment Functions
  - The consumption function defines the relationship between income and consumption levels.
  - The investment function explains the link between aggregate income and investment levels.
- Consumption Function
  - Definition and Importance
    - The consumption function indicates how consumption varies with income.
    - Higher effective demand leads to increased income and employment levels.
  - Psychological Law of Consumption
    - Consumption increases with income but not proportionately.
    - Key concepts: average propensity to consume (APC) and marginal propensity to consume (MPC).
  - Average and Marginal Propensity to Consume
    - APC = Total Consumption / Total Income
    - MPC = Change in Consumption / Change in Income
    - The relationship between income, consumption, savings, and the resultant economic behavior.
  - Factors Determining the Consumption Function
    - Subjective Factors: Personal decisions influencing consumption behaviors.
    - Objective Factors: Economic conditions affecting consumption levels.
  - Importance of the Consumption Function
    - Challenges Say's law of markets and highlights the need for state intervention in economic planning.
    - Explains business cycle turning points and the tendency towards marginal efficiency of capital decline.
- Investment Function
  - Definition and Importance
    - Investment refers to adding to the capital stock for future production.
    - Different types of investments: private, public, induced, autonomous.
  - Types of Investment
    - Private Investment: Influenced by profit motives.
    - Public Investment: Targeted towards social welfare rather than profits.
    - Induced Investment: Varies with national income changes.
    - Autonomous Investment: Unrelated to income levels.
  - Determinants of Investment
    - Factors influencing investment decisions include interest rates, level of uncertainty, and political environment.
    - The significance of business expectations and consumer demand in guiding investment.
- Marginal Efficiency of Capital and Business Expectations
  - Marginal Efficiency of Capital (MEC)
    - Defined as the expected return from an additional unit of capital.
    - Influenced by prospective yields and the supply price of capital assets.
  - Role of Business Expectations
    - Fluctuations in investment are primarily driven by changes in MEC due to business expectations.
    - Short-term vs. long-term expectations and their impact on investment decisions.
- Multiplier Effect
  - Definition and Mechanism
    - The multiplier shows how initial changes in investment lead to larger changes in income.
    - The relationship is influenced by the marginal propensity to consume.
  - Types of Multipliers
    - Income multiplier, employment multiplier, and investment multiplier.
  - Limitations of the Multiplier
    - Assumptions needed for effective functioning, including excess capacity and stable MPC.
- Accelerator Effect
  - Definition and Mechanism
    - The accelerator explains how changes in consumption lead to increased investment in capital goods.
    - The relationship between consumption changes and subsequent investment demands.
  - Practical Importance of the Accelerator
    - Highlights fluctuations in income and employment, and informs business cycle understanding.
- Summary of Key Concepts
  - Integration of consumption and investment functions within managerial economics.
  - The significance of the multiplier and accelerator in understanding economic behaviors and decision-making.